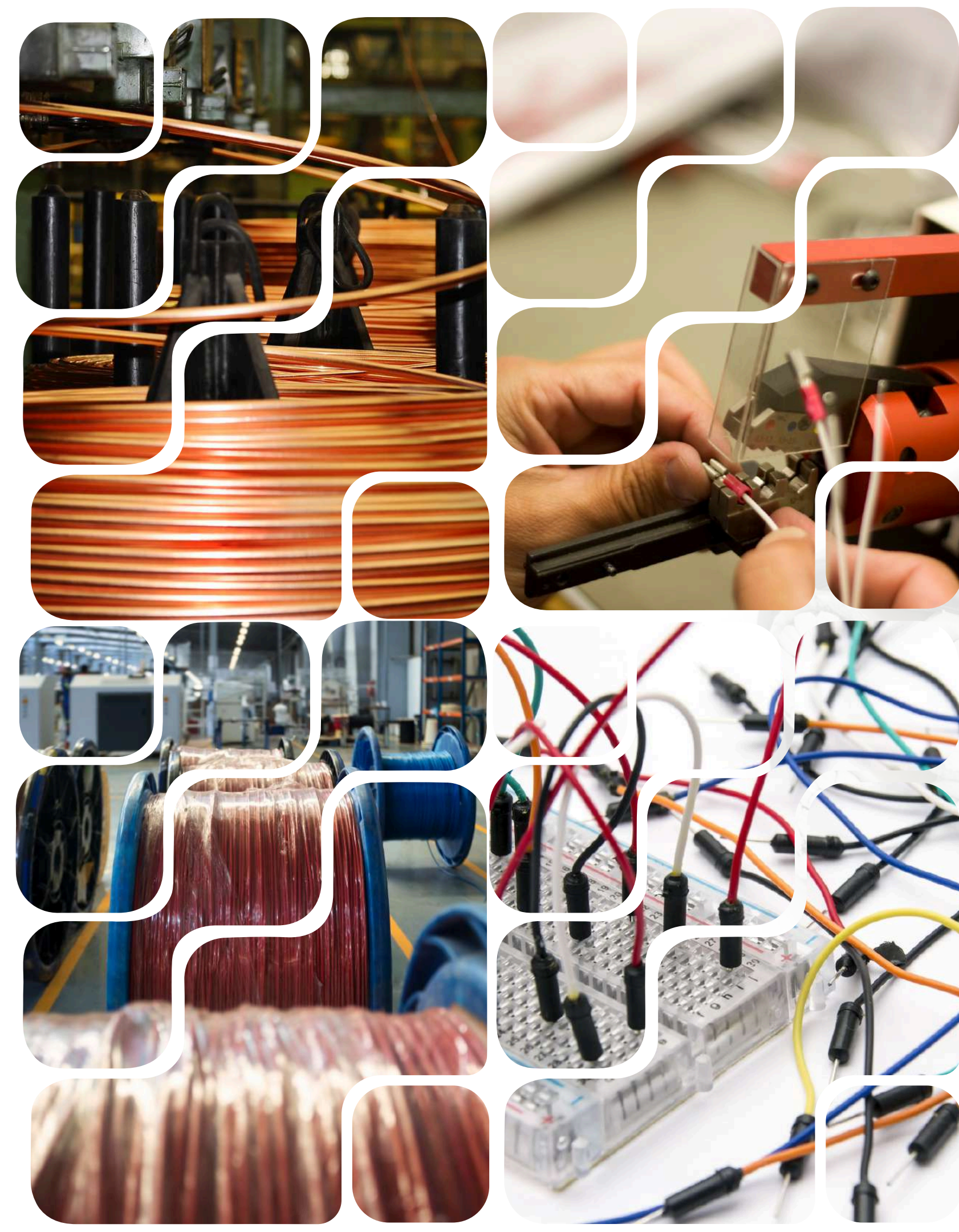


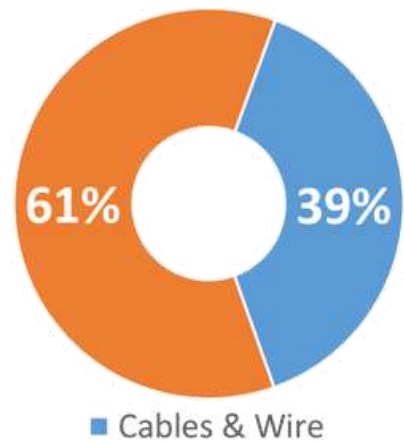


XYZ INDUSTRIES Pvt. Ltd.

INVESTMENT MEMORANDUM

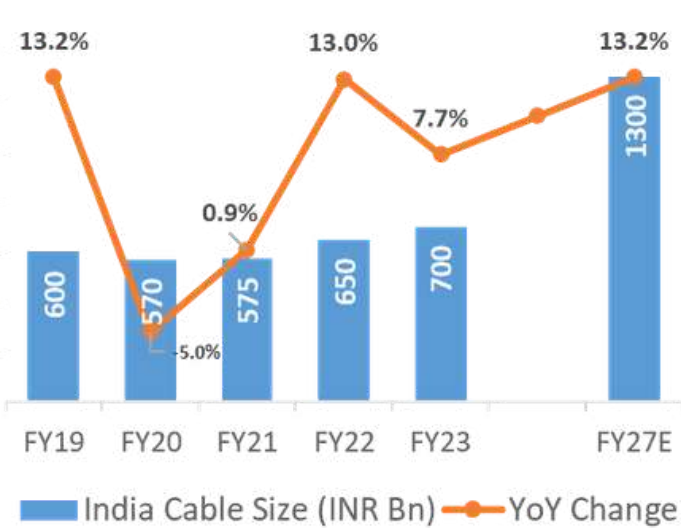
Industry Analysis (1/2)

India's Electrical Industry Growth



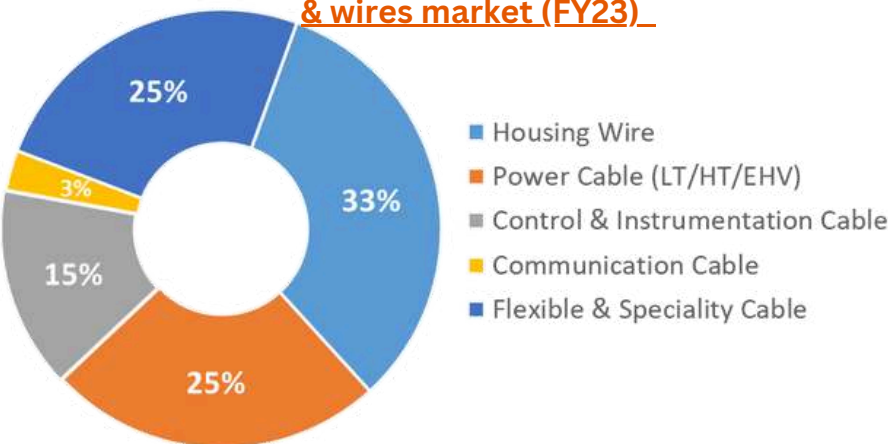
- The Indian electrical industry (At INR 1.8T in FY23) likely to post 10% CAGR: The Indian cables & wires industry, along with FMEG products, is estimated to be INR 1.8T in FY23
- The industry offers huge growth potential and is estimated to report 10% CAGR over the few years, led by increased traction in the infrastructure and real estate sectors.
- The cables & wires industry constitutes 39% of the electrical industry and forms a crucial part of the construction and infrastructure activities of the government and private players.
- Intensifying focus on infrastructure, a strong traction in the real estate sector, an increase in electrification of villages, and rising nuclear families are expected to spur cables & wires industry growth.

India's Cables & Wires Industry Growth



- The Cables & Wires market reported 8% CAGR over FY24 and it is estimated to clock 12-14% CAGR over FY23-27 (INR 1.2 - 1.3T).
- Majority listed players have shown a combined revenue CAGR of 13 % over this period, which should continue over FY 23-26E.
- The share of branded players has increased to -74% in FY23 from 61% in FY14 and is expected to improve to 80% by FY25.
- The cables & Wires industry can be split into five categories with housing wire having the largest share; it is anticipated to post a 16% CAGR between FY23 and FY27.
- The power cable and flexible & specialty cable category is projected to report a 14% CAGR and maintain its market share during the same period. Lastly, control & instrumentation and communication cable categories would register a CAGR of 11% and 15%, respectively, over FY23-27.

Share of different products within the cables & wires market (FY23)



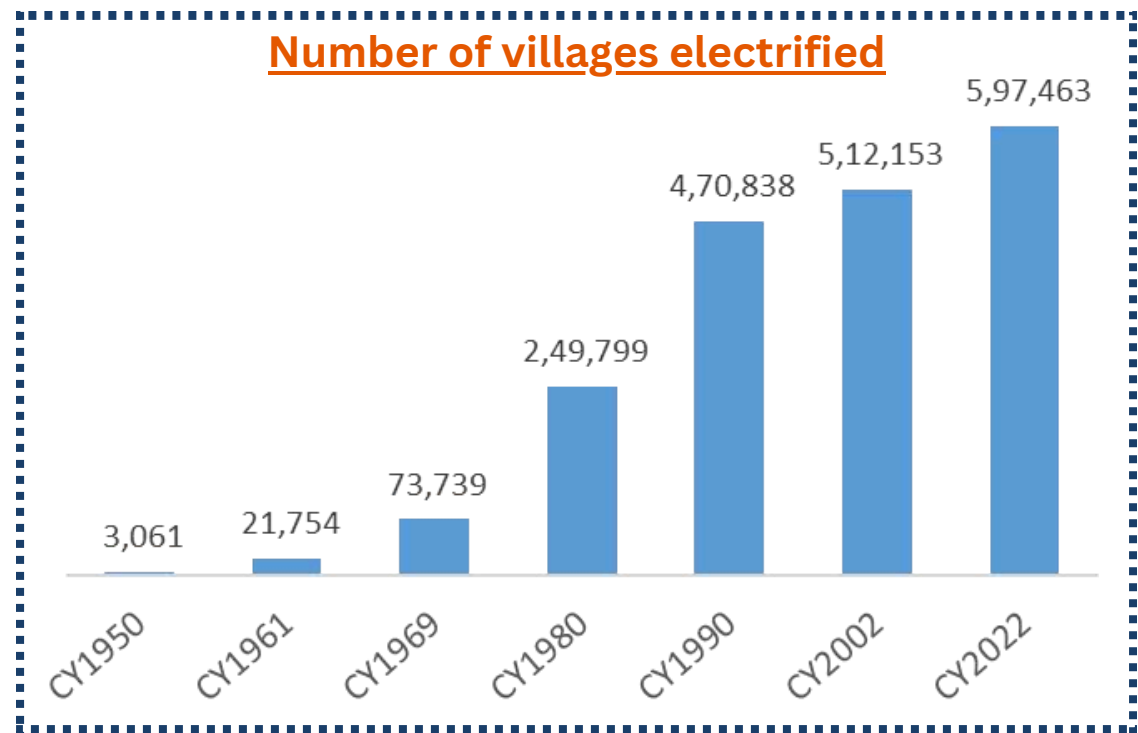
- The domestic cables & wires market has steadily moved to an organized play from a largely unorganized play, including regional/national players.
- The shift was led by rising awareness among consumers towards safety and quality, the advent of GST regime, technological innovation, brand building, and technical & regulatory compliance.

Growth Drivers for next 10 years:

- Infrastructure Development
- Urbanization
- Smart Cities
- Industrial Automation
- Growth of residential and commercial real estate
- Rural Electrification
- The move towards renewable energy

Exports of Cables & Wires have been on an increasing trend from India. India is now a new exporter of cables & wires.

Industry Analysis (2/2)



- The Central government’s Capex increased at a 30% CAGR over FY2024 to reach INR 9.5T and this is likely to touch INR 11.1T in FY25 (Up 17% YoY)
- The government’s increasing focus on infrastructure development would facilitate the cost-efficient movement of good and people, which would spur economic growth.
- The number of electrified villages has kept on increasing and reached -0.6m in CY22. Several government initiatives, such as The Deendayal Upadhyaya Gram Jyoti Yojana, the Pradhan Mantri Sahaj Bijli Har Ghar Yojana - Saubhagya, etc. have boosted electrification.
- Currently, 1.18m household still remian to be electrified and the process is likely to be completed in the next few years, this reflects the huge scope of the cables & wires industry.

Impact of Raw material price Fluctuation

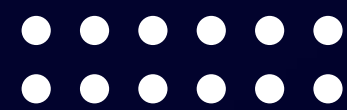
Copper and aluminum are the key raw materials used in cables & wires and form a major chunk of the raw material costs. The cost fluctuations in these materials define the margin of cables & wires for the company. Most companies typically have a 90-day window from the raw material procurement date wherein they can fix the price of cables & wires based on fluctuation in copper and aluminum rates. This allows manufacturers to factor in any increase in the raw material cost during the sale of products, which is then passed on to consumers and vice versa. Most cables & wires’ manufactures enter into short contracts with their respective metal suppliers.

- **Copper:** Typically, Copper forms 55-60% of the raw material cost in cables & wires. Hence, Cables & wires are highly sensitive to any fluctuation in the cost of copper.
- **Aluminum:** Aluminum also forms a substantial part in the raw material cost of cables & wires, ranging from 15-20%. Combined, copper and aluminum almost account for 75% of the total raw materail cost of cables & wires.



Key factors driving growth in the cables & wires segment

Power Cables	• Investments in power transmission and distribution • Capacity addition in solar and wind energy • smart cities mission
Elastomeric and flexible cables/wires	• Automobile industry growth and increasing investments in railway for electrification • Growing demand for household appliances and automobiles due to revival in per capita income. • Increased construction activity supported by growing infrastructure projects.
Control and Instrumental Cables	• Capex rising across industries such as auto, steel, oil and gas, and power. • Investment expenditure by Indian Railway and in other mass transit systems • Increased focus on automation in ‘manufacturing and processing’ to monitor and control quality



ABOUT US



COMPANY OVERVIEW

XYZ Industries Ltd. (Brand: ABC) has over 30 years of experience and has supplied more than 1 lakh kilometers of cables to 20+ states. The company is a leading service cable manufacturer in Central India, ISO 9001-2015 certified, and known for its commitment to quality and innovation.

ABC manufactures eco-friendly industrial cables made from high-purity electrolytic-grade copper and advanced compounds, ensuring superior electrical, mechanical, and weatherproof properties, with modern machinery and testing facilities, ABC upholds the highest standards of quality and performance, meeting BIS and international standards.



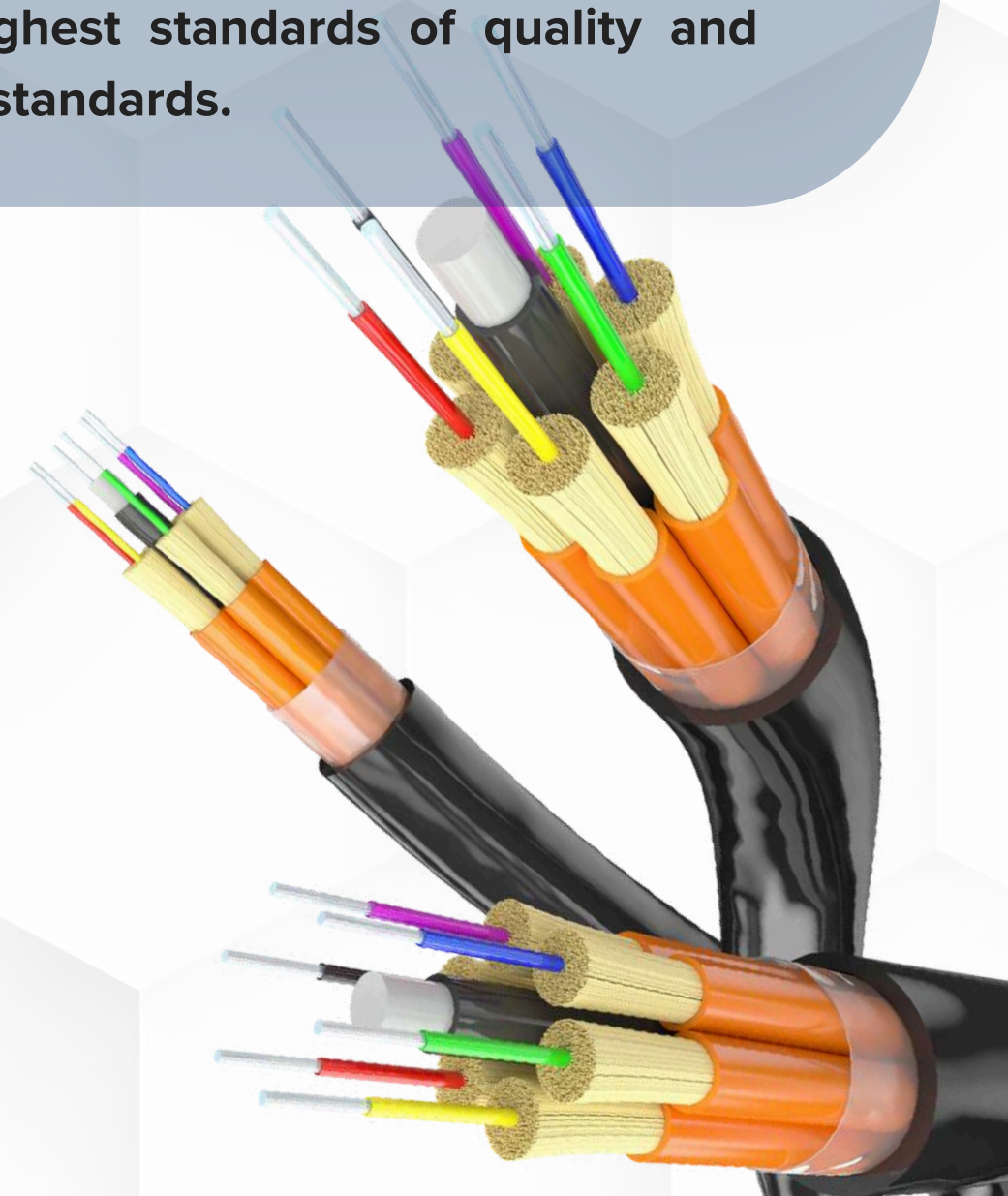
VISION

To innovate and deliver high-quality, internationally certified cables by collaborating with top manufacturers and ensuring quality and reliability through expert management and commitment to excellence.



MISSION

To be a trusted industry leader, recognized for exceptional quality and international standards, building lasting customer trust through consistent quality, innovation, and commitment.



FACILITIES & INFRASTRUCTURE

- 1** Spacious factory with state-of-the-art machinery at PQR.
- 2** Laboratory equipped with ultra-modern and sophisticated testing equipment.
- 3** Dedicated Quality Control Cell with qualified engineers for stringent quality checks.
- 4** In-house R&D team focused on continuous improvement and innovation.

TESTING & COMPLIANCE

- 1** Products type-tested by NABL labs and approved by trusted third-party agencies.
- 2** Fully equipped in-house testing facilities for comprehensive type tests.
- 3** Traceability ensured at all production stages.

MARKET & COMMITMENT

- 1** Catering to domestic, regional, and global markets.
- 2** Focus on time-bound delivery and competitive pricing.
- 3** Commitment to high-quality products and environmental sustainability



Our Presence

XLPE Cables



PVC Cables



Aerial Bunched Cables



Waterproof Cables



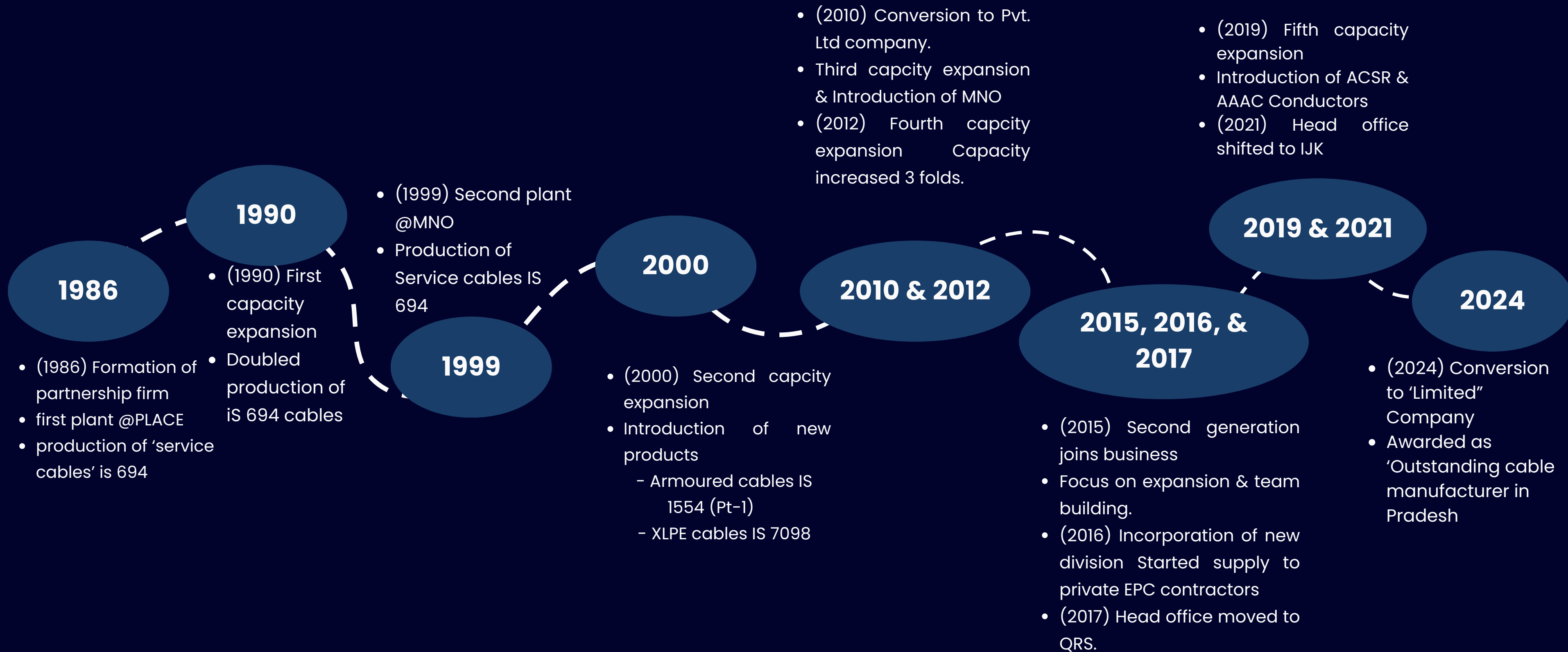
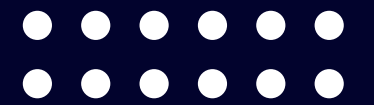
Quality Assurance:

With stringent quality control, modern machinery, and advanced testing facilities, XYZ Ltd. ensures top-notch quality and reliability. Furthermore, ABC promotes education in India, supporting community development alongside business growth.

SWOT Analysis

S	W	O	T
- Established brand reputation with Vidhut Cables. - Strong leadership with experienced directors - State-of-the-art manufacturing facilities - Commitment to quality and innovation	- High initial capital investment - Dependency on raw material suppliers - Vulnerability to market fluctuations	- Expansion into international markets - Growth in demand for renewable energy cables - Diversification into high-voltage and specialty cables	- Intense competition from other cable manufacturers - Fluctuations in raw material prices - Regulatory changes impacting the industry

JOURNEY SO FAR



PRODUCT RANGE

XYZ's Product Range Includes, LT cables and various kind of wires & cables as shown in images below:

LT PVC / XLPE POWER CABLES



Designed for overhead power distribution in urban and rural areas, providing safety, reduced power loss, and easy installation

LT PVC / XLPE CONTROL CABLES.



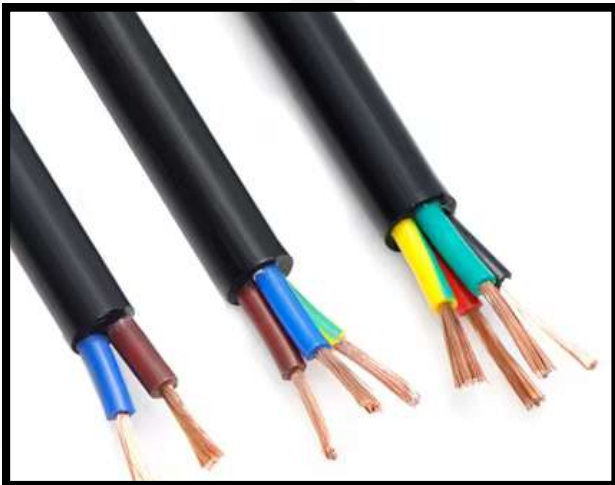
High-performance cables ideal for medium and high-voltage applications. Known for superior thermal resistance and durability, they are widely used in heavy industries and power utilities

LT AERIAL BUNCHED CABLES



Designed for overhead power distribution in urban and rural areas, providing safety, reduced power loss, and easy installation

COPPER FLEXIBLE & SERVICE CABLES



Designed for cable tray routing, portable power equipment, wind and solar energy, oil and gas applications, and more

CLIENTELE

XYZ caters to a broad and diverse clientele, ensuring its products serve critical sectors in power and infrastructure. Key customer segments include:

1. Electricity Discoms -

Supplying low voltage cables for reliable power distribution in urban and rural areas.

2. EPC (Engineering, Procurement, and Construction) Companies -

Providing tailored cable solutions for large-scale infrastructure and power projects.

3. Public Sector Undertakings (PSUs) -

Supplying high-quality cables to energy and other sectors, meeting strict technical and operational standards.

4. Infrastructure Companies -

Supplying cables for roads, bridges, and other projects to ensure efficiency and safety.



Go-To-Market Strategy



Product Diversification

Expand into high-value segments like HT Power Cables, solar cables, and ACSR conductors to meet evolving market demands.



Manufacturing Expansion

Invest in a new plant in Khargone, M.P., to increase capacity and introduce advanced product lines in a phased manner.



Market Growth

Strengthen presence in domestic markets (Discoms, PSUs, Infrastructure) and expand exports to regions like the Middle East, Europe, and Africa.



Customer Focus

Offer customized solutions and excellent after-sales support to build lasting relationships.



Sustainability & Compliance

Commit to eco-friendly manufacturing and ensure adherence to BIS and international standards.



Organizational Strength

Invest in talent development and foster a culture of innovation and excellence.



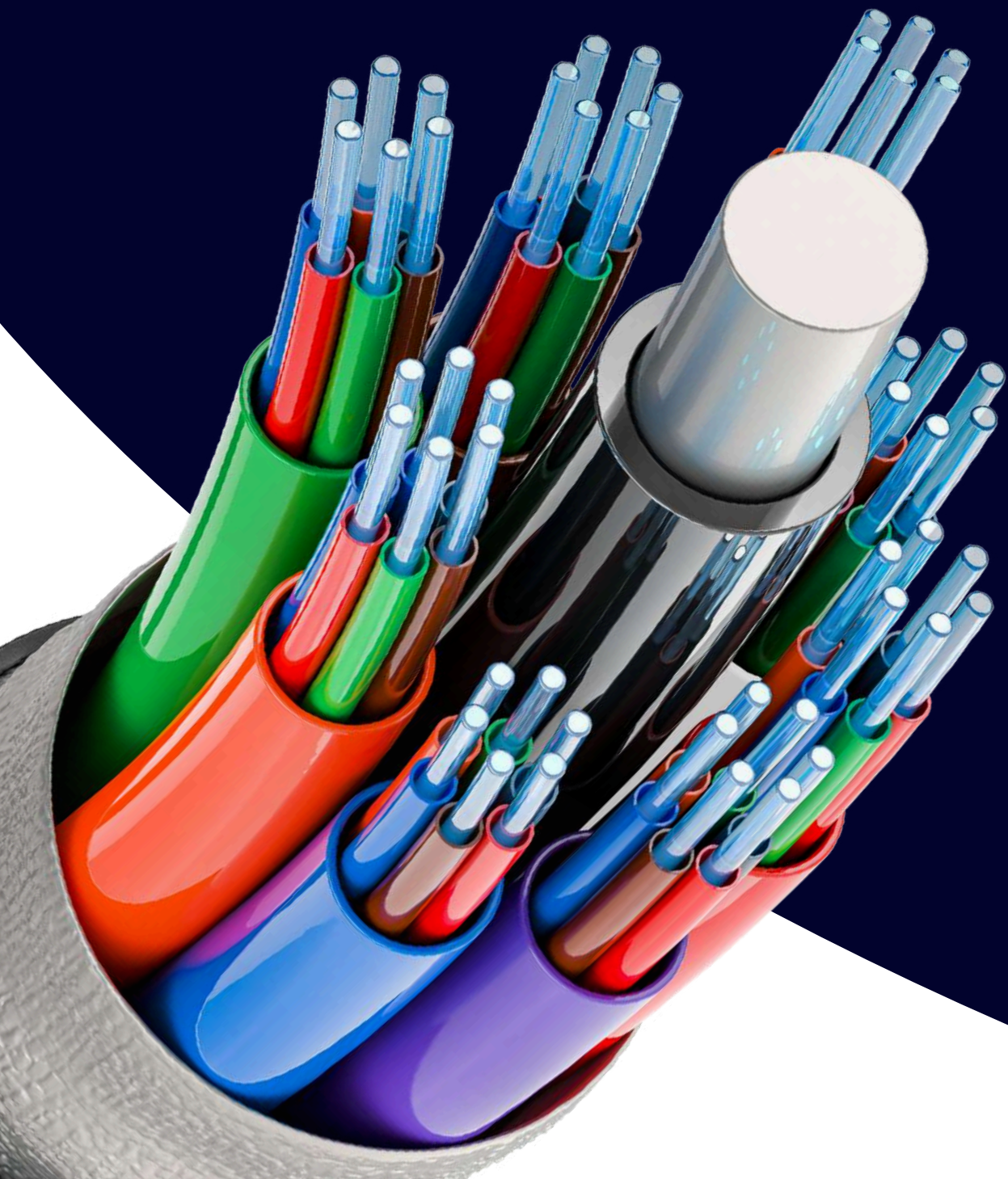
Technology Integration

Leverage automation and digital tools to enhance operational efficiency and supply chain management.

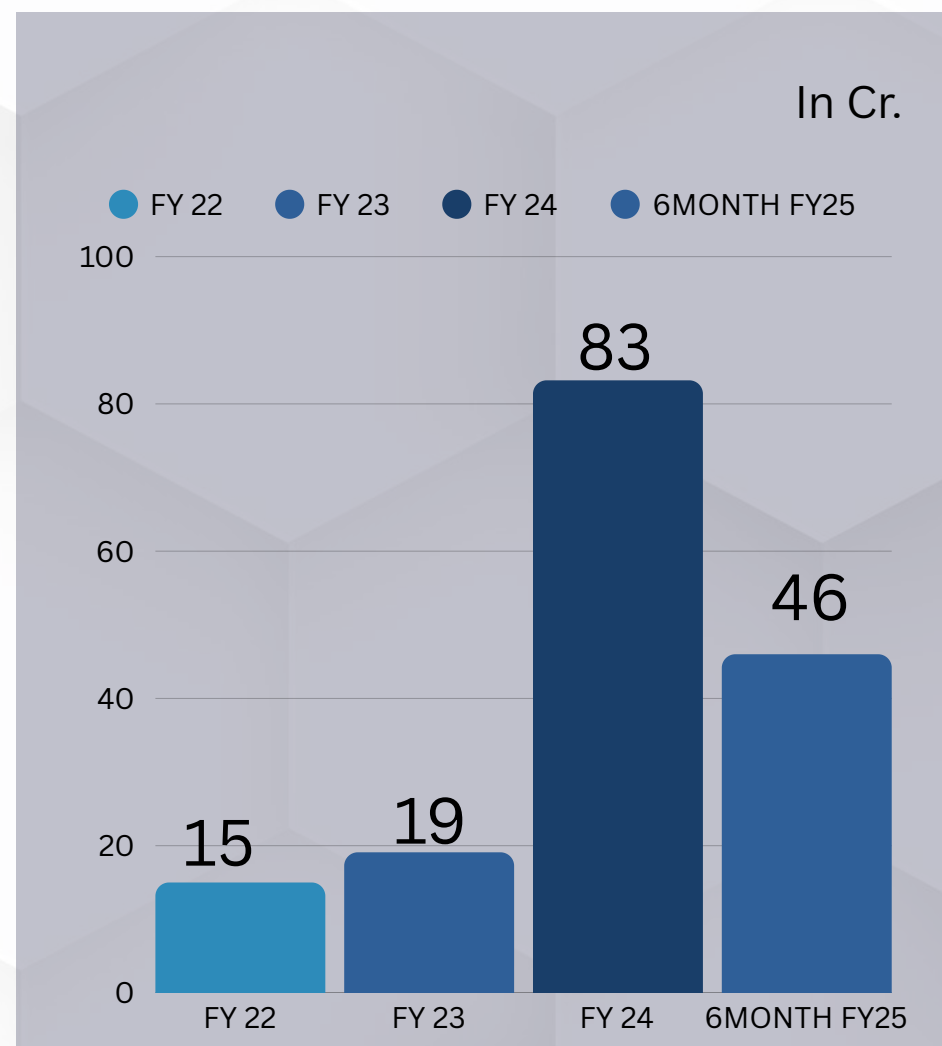


Strategic Partnerships

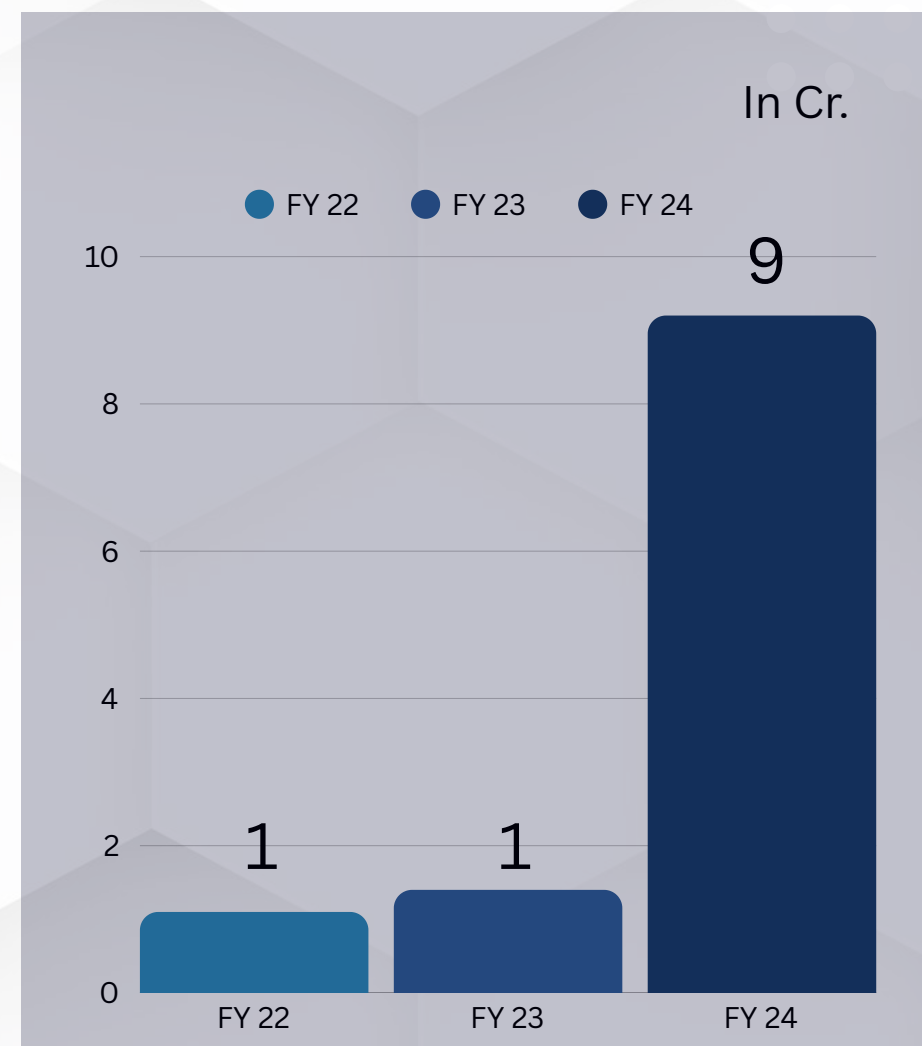
Collaborate with EPC firms and PSUs to secure long-term contracts and expand the distributor network.



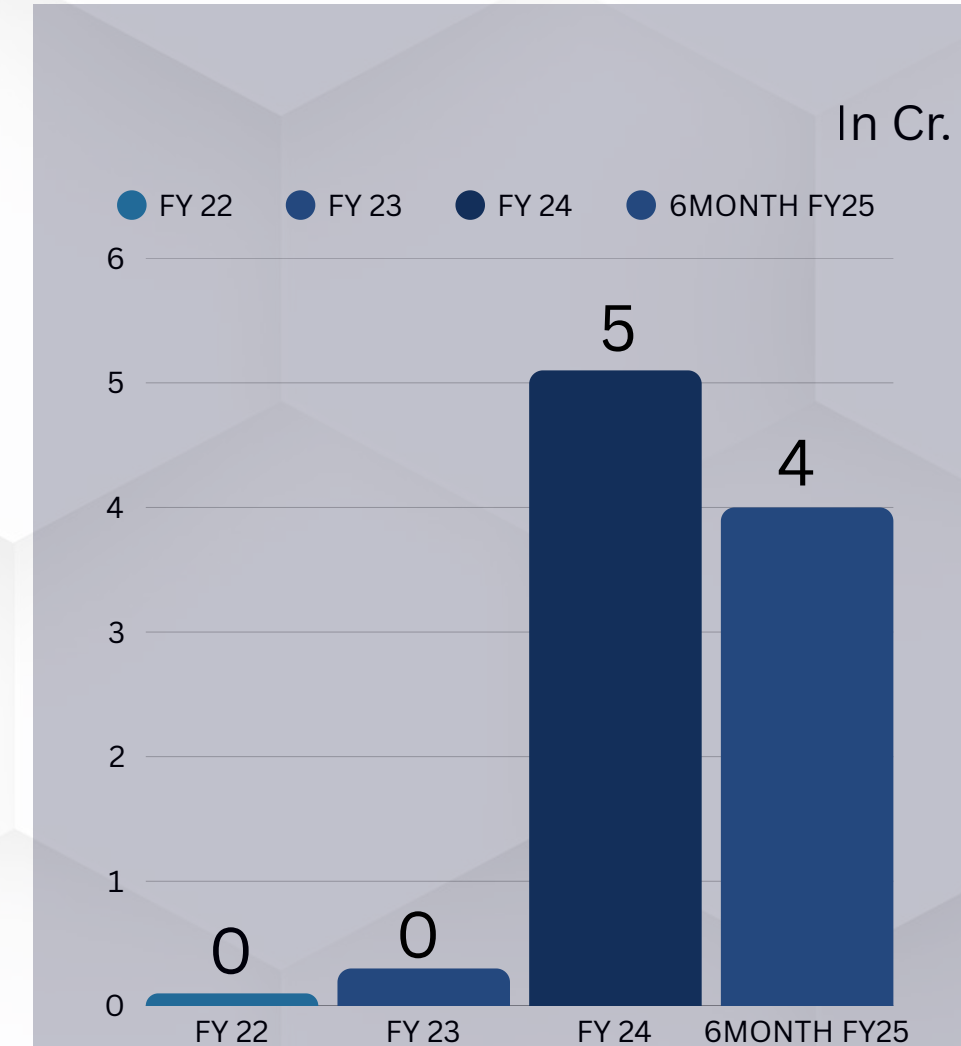
FINANCIAL OVERVIEW



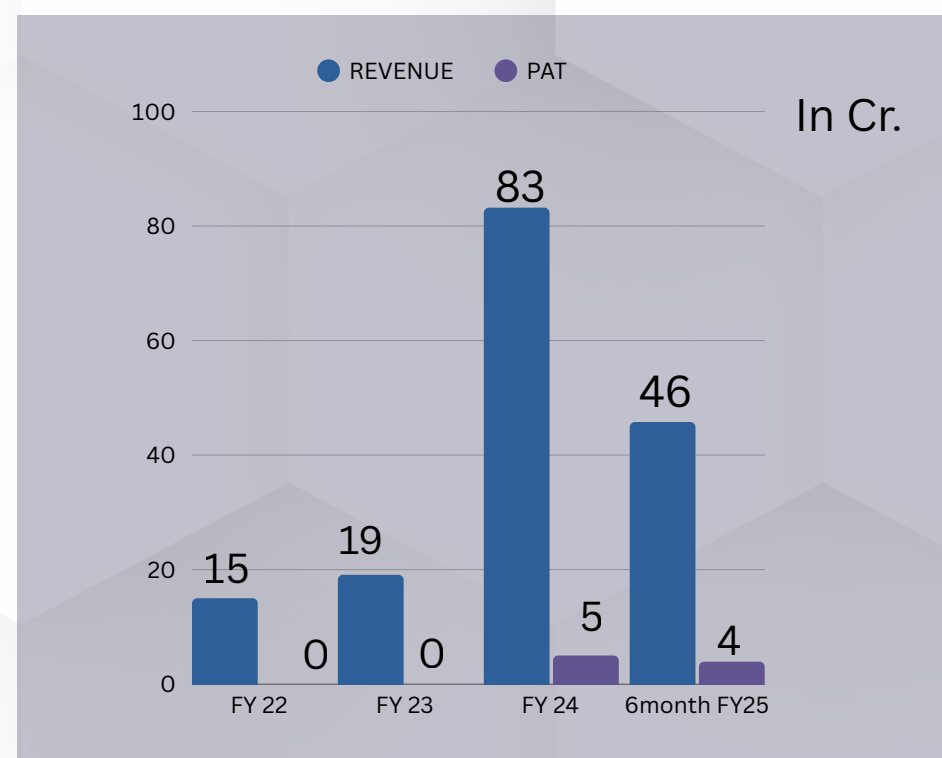
REVENUE



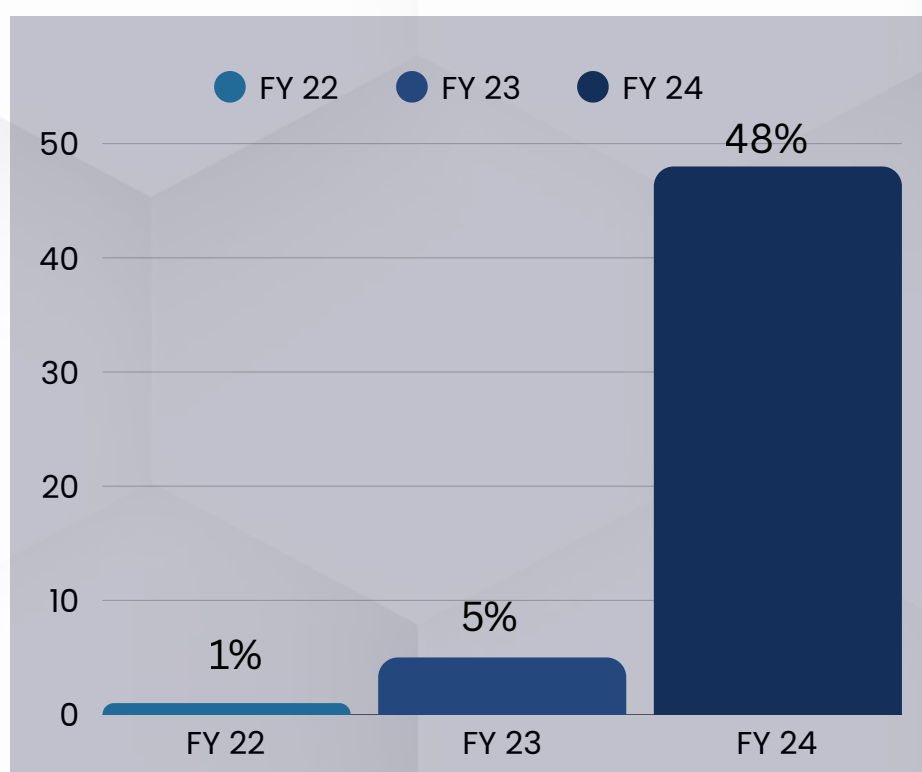
EBITDA



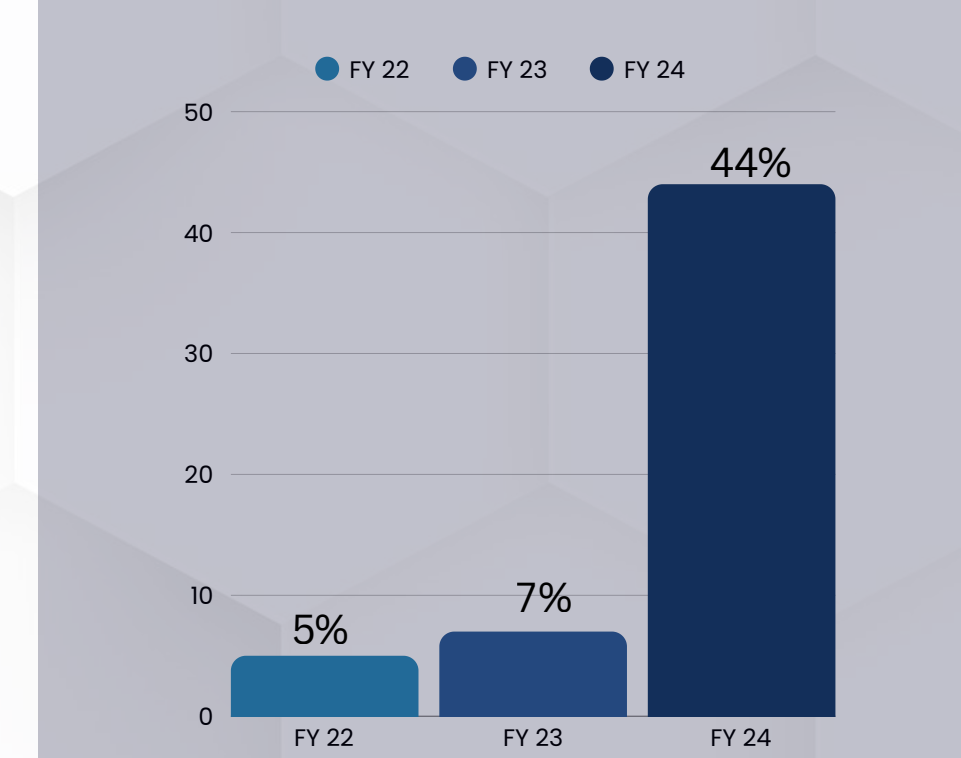
PAT



REVENUE & PAT



ROE



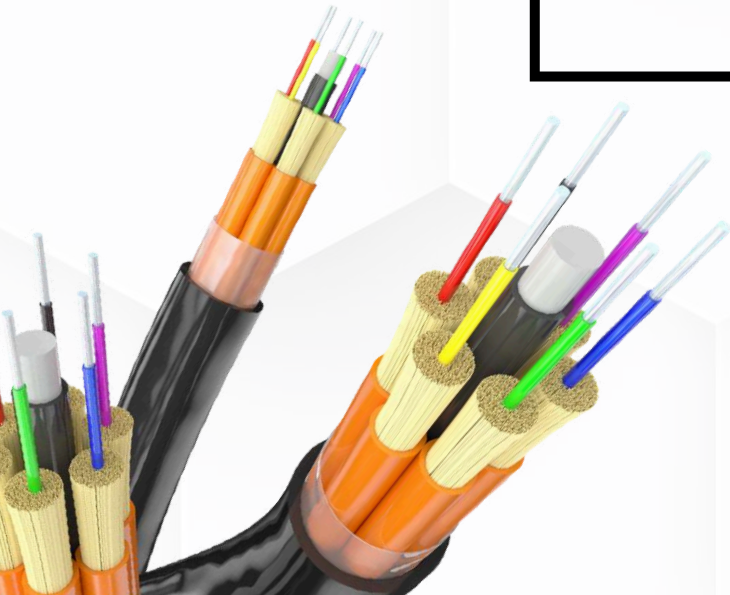
ROCE

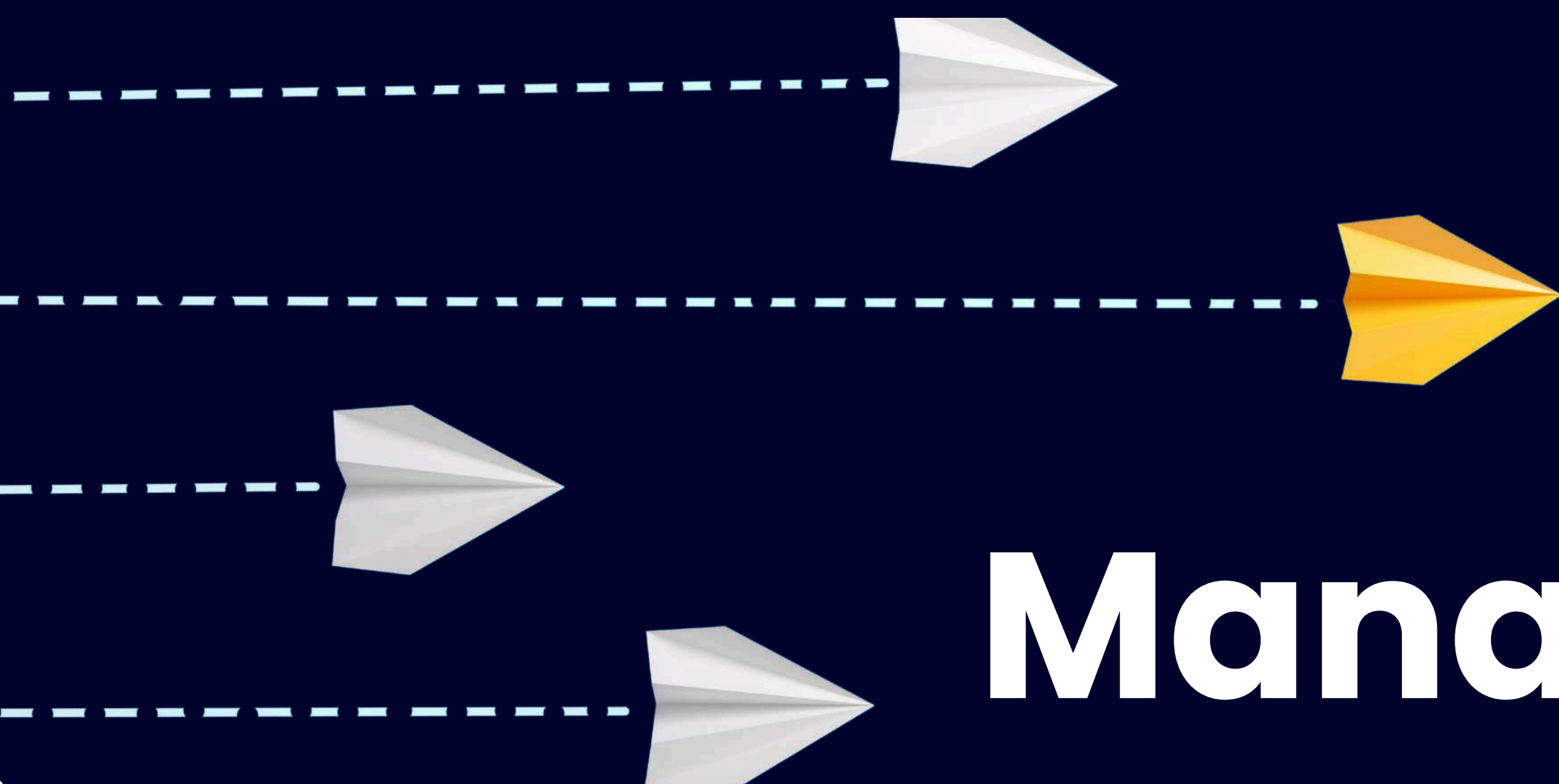
KEY FINANCIAL FIGURES

Basis	As of 30.03.2025
Revenue	Rs.45.77Cr.
Operating Profit	Rs.6.59Cr.
Profit After Tax	Rs.3.93Cr.
Operating Profit Margin	14.41%
NPAT Margin	8.58%

State Wise Revenue as of Mar 30, 2025

States	% of Total Revenue from Operations
Bihar	5.52%
Delhi	0.13%
Haryana	1.07%
J&K	2.31%
Kerala	5.86%
Andhra Pradesh	30.85%
Bihar	7.87%
Rajasthan	5.43%
Uttar Pradesh	35.53%
Uttarakhand	5.43%



Four paper airplanes are shown on horizontal dashed lines. From top to bottom: a white airplane, a yellow airplane, a white airplane, and a white airplane. The yellow airplane is the only one that has reached the right side of the frame. The other three are still on the left side, with the bottom-most one being the furthest from the right.

Management Leadership



Name

About the person



Name

About the person



Name

About the person



Name

About the person



*Thank
You*